Note 15. Income Taxes

The following table summarizes the provision for income taxes:

	For the Year Ended December 31,		
	2020	2019	2018
		(in thousands)	
Federal:			
Current	$ (14,863)	$ 9,674	$ 28,891
Deferred	6,859	584	(20,636)
(Benefit)/provision for Federal income tax	(8,004)	10,258	8,255
State:			
Current	1,501	1,785	4,162
Deferred	(610)	317	(578)
Provision for State income tax expense	891	2,102	3,584
(Benefit)/provision for income taxes	$ (7,113)	$ 12,360	$ 11,839

The income tax (benefit) expense differs from the amounts computed by applying the U.S. federal income tax rate of as indicated below to pretax income as a result of the following (in thousands):

	For the Year Ended December 31,		
	2020	2019	2018
Expected income tax expense at federal rate	21.0%	21.0%	21.0%
State tax expense	25.9%	3.6%	5.5%
Permanent items	16.0%	0.9%	0.7%
Non-deductible stock compensation	22.4%	(0.4)%	2.1%
Tax exempt interest	(18.4)%	(1.6)%	(1.6)%
Non-deductible acquisition costs	0.0%	0.0%	0.4%
Executive compensation 162(m)	20.3%	6.1%	4.3%
Political contributions	6.2%	0.3%	0.5%
Tax rate change	(409.1)%	0.6%	(2.3)%
Other	(5.6)%	(0.4)%	(0.2)%
Reported income tax expense	(321.3)%	30.1%	30.4%

The effective tax rate for 2020 benefitted from a tax rate change related to a carryback of a tax net operating loss, which was carried back five years under The CARES Act. The effective tax rates for 2020, 2019 and 2018 were affected by various permanent tax differences, predominately disallowed executive compensation deductions which were further limited in 2017 and future years upon the enactment of H.R.1, commonly referred to as the Tax Cuts and Jobs Act (“Tax Act”). The effective tax rate can fluctuate throughout the year as estimates used in the tax provision for each quarter are updated as more information becomes available throughout the year.

On March 27, 2020, former President Trump signed into law the Coronavirus Aid, Relief, and Economic Security (CARES) Act to mitigate the economic impacts of the COVID-19 crisis. The CARES Act amended the law for net operating losses generated in taxable years beginning after December 31, 2017 and before January 1, 2021. Net operating losses generated by a corporation during these taxable years are allowed a five-year carryback period. As the Company had a 2020 tax net operating loss, the Company’s rate reconciliation reflects the favorable $7.1 million tax benefit from carrying back tax losses to years for which the statutory rate was 35%.

The Tax Act was signed into law on December 22, 2017 and contains several key provisions that impact the Company's business, including the reduction of the U.S. federal corporate tax rate from 35% to 21% effective January 1, 2018, the reduction in

the amount of executive compensation that could qualify as a tax deduction, and a change in how property and casualty taxpayers discount loss reserves. Under current accounting guidance, the effects of changes in tax rates and laws are recognized in the period in which the new legislation is enacted.

The significant components of deferred tax assets and liabilities included in the consolidated balance sheets as December 31 were as follows:

	For the Year Ended December 31,	
	2020	*2019*
Deferred tax assets:	*(in thousands)*	
Unearned premiums	$ 15,303	$ 12,585
Unearned commission	9,272	8,671
Net operating loss	1,885	—
Tax-related discount on loss reserve	3,322	2,716
Stock-based compensation	113	297
Accrued expenses	982	757
Leases	394	331
Other	343	1,890
Total deferred tax asset	31,614	27,247
Deferred tax liabilities:		
Deferred acquisition costs	20,694	17,871
Prepaid expenses	236	153
Unrealized gain	1,814	2,195
Property and equipment	1,669	1,029
Note discount	326	478
Basis in purchased investments	53	100
Basis in purchased intangibles	15,693	16,977
Internal revenue code 481(a)-Accounting method change	8,577	—
Other	1,029	1,067
Total deferred tax liabilities	50,091	39,870
Net deferred tax liability	$ (18,477)	$ (12,623)

The Company had no capital loss carryforward as of December 31, 2020.

In assessing the net carrying amount of deferred tax assets, we consider whether it is more likely than not that we will not realize some portion or all of the deferred tax assets. The ultimate realization of deferred tax assets depends upon the generation of future taxable income during the periods in which those temporary differences become deductible. We consider the scheduled reversal of deferred tax liabilities, projected future taxable income and tax planning strategies in making this assessment. The remaining goodwill from asset purchases that is deductible for tax purposes over the future years totaled $6.0 million for the years ended December 31, 2020 and 2019, respectively. We had non-deductible goodwill of $144.4 million for the years ended December 31, 2020 and 2019, respectively.

The statute of limitations related to our federal and state income tax returns remains open from our filings for 2017 through 2019. For the 2014 tax year, the federal income tax return was examined by the tax authority resulting in no material adjustments. In April 2019, the Company was notified by the tax authority that the federal income tax returns for the years 2015, 2016 and 2017 would be examined. In August 2020, the Company received a notice from the tax authority for the examined tax years, reporting that the returns were accepted as final. No further action will be required and no other tax years are under examination.

Our reinsurance affiliate, Osprey Re, Ltd., which is based in Bermuda, made an irrevocable election under section 953(d) of the U.S. Internal Revenue Code of 1986, as amended, to be treated as a domestic insurance company for U.S. Federal income tax purposes. As a result of this election, our reinsurance subsidiary is subject to United States income tax as if it were a U.S. corporation.

As of December 31, 2020, the Company had no uncertain tax positions or unrecognized tax benefits that, if recognized, would impact the effective income tax rate.